South Dakota Financial Profile & Rules

> **Composite COL Index:** 91.8
> **Housing Cost Metric:** 84.5
> **Income Tax Burden:** 0.00% (No Income Tax)

State-Specific Financial Q&A

Q: What is South Dakota's individual income tax rate?

A: South Dakota has no individual or corporate income tax, a protection established constitutionally. The state relies primarily on consumption-based revenue.

Q: How does the sales tax function in South Dakota?

A: The state sales tax rate is 4.20%, and municipal tax piggybacks can increase it up to a maximum of 6.20%.

Q: What is the bank franchise tax in South Dakota?

A: Financial institutions operating in the state are subject to a franchise tax based on net income, ranging from 1% to 6%.

Q: How are residential properties assessed for tax purposes?

A: Properties are assessed at 100% of full market value, but annual growth in taxable value is limited by statutory caps tied to inflation or index metrics.

Cost of Living (COL) Index Reference

Metric Point	Value vs. National Baseline (100.0)
Composite COL Index	91.8
Housing Cost Metric	84.5